KEY PERFORMANCE INDICATOR

IS 111 - TOPIC 6

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Topic Outline

At the end of this lesson, students shall be able to:

- Define Key Performance Indicators (KPIs) and their importance in performance measurement.
- Identify and explain the seven key characteristics of effective KPIs.
- Differentiate between lead and lag indicators and understand their relevance in performance evaluation.
- Explore the seven foundation stones necessary for successfully implementing KPI systems.
- Provide at least 2-3 realistic/real-world examples

What is KPI?

Key Performance Indicators (KPIs) are essential tools for **measuring progress and success in any organization**. They provide clear, data-driven insights that help businesses, teams, and individuals track performance, identify areas for improvement, and make informed decisions. By setting and monitoring KPIs, organizations can stay focused on their goals and continuously improve efficiency and effectiveness.

For example:
If a store wants to sell 1,000 products a month, the number of sales is a KPI that shows if there are meeting their target.

Importance of KPI in Performance Measurement

KPIs (Key Performance Indicators) are important in performance measurement because they help track progress toward goals. They show whether a person, team, or organization is doing well or needs improvement. Good KPIs make it easy to see what's working and what needs to change.

Seven Key Characteristics of Effective KPI

1. **Non-Financial** – KPIs should **not be expressed in monetary terms**. They focus on operational aspects rather than financial results.
2. **Timely** – KPIs should be **measured frequently** (daily, weekly, or 24/7) rather than monthly or quarterly.
3. **CEO Focus** – KPIs should capture the attention of **senior management** and influence decision-making at the **highest level**.
4. **Simple** – KPIs should be **easy to understand** and clearly indicate what actions need to be taken.
5. **Team-Based** – KPIs should be **linked to a specific team** or department, ensuring accountability.

Seven Key Characteristics of Effective KPI

6. **Significant Impact** – KPIs should have a **broad influence on the organization**, affecting multiple critical success factors and strategic areas.
7. **Limited Dark Side** – KPIs should **drive positive behavior** without encouraging unintended negative actions.

What is Lead and Lag Indicators?

Leading and ***lagging*** indicators are two types of measurements used when assessing performance in a business or organization. It can also tell you about the health of your organization.

Leading indicators are metrics that predict future conditions.
Example: If we want to increase sales, a predictive measure could be to make more sales calls or run more marketing campaigns.
Lagging indicators tell you what has already happened.
Example: If we want to know how many sales have been made this month, we simply count them.

Difference between Lead and Lag

Leading indicators predict future performance and help drive your daily initiatives. Lagging indicators, on the other hand, reflect past performance to assess success and shape long-term strategy.

Leading indicators can be challenging to define because they predict which outcomes will lead to future success, while Lagging indicators are more straightforward to assign and understand.

Leading indicators help guide adjustments in your day-to-day actions, whereas lagging indicators help measure past success and inform long-term strategy.

Relevance of Lead and Lag in Performance Evaluation

When developing a business performance management strategy, using a combination of lead and lag indicators is always good practice. The reason for this is obvious; a lag indicator without a lead indicator will not indicate how a result will be achieved and provide no early warnings about tracking towards a strategic goal.

It's important to track both because they help identify product and business improvement opportunities.

Both enabling proactive adjustments and a comprehensive understanding of past performance and future potential.

Both can help you gain an understanding of business conditions and trends.

Seven (7) Foundation Stones for Successfully implementing KPI Systems

1. Partnership with the staff, unions, and third parties
2. Transfer of power to the front line
3. Measure and report only what matters
4. Source KPIs from the critical success factors
5. Abandon processes that do not deliver
6. Appointment of a home-grown chief measurement officer
7. Organization-wide understanding of the winning KPIs definition

Seven (7) Foundation Stones for Successfully implementing KPI Systems

1. **Partnership with the staff, unions, and third parties**

   This foundation stone emphasizes the importance of collaboration between management, employees, unions, key customers, and key suppliers to improve performance and implement change effectively.

   Implications:
   - Recognition of the Need for Change by All Stakeholders
   - Commitment to Effective Consultation with Unions and Employees
   - Joint Development of a Strategy for Best Practices and KPIs
   - Extending Partnership to Key Customers and Suppliers

Seven (7) Foundation Stones for Successfully implementing KPI Systems

2. **Transfer of Power to the Frontline**

The "Transfer of Power to the Frontline" means giving employees more authority and responsibility to make decisions that improve performance. Instead of waiting for approval from top management, frontline workers (those who directly handle operations) can act immediately to solve problems.

Implications:

- Effective two-way communication
- Empowerment
- Devolving responsibility
- Training
- Lean and Agile methodologies
- Awarenessof learningdifficulties

Seven (7) Foundation Stones for Successfully implementing KPI Systems

3. **Measure and Report Only What Matters**

This section emphasizes that organizations should measure and report performance in a way that drives action, rather than just generating reports for the sake of it

Implications:

- Abandon Ineffective Reports
- Measures to Have a Reason to Exist
- Reports Lead to Action
- Lean Reporting
- Data Visualization
- Bottom-Up Approach

Seven (7) Foundation Stones for Successfully implementing KPI Systems

4. **Source KPIs from the Critical Success Factors**

This principle states that all KPIs (Key Performance Indicators) should come from Critical Success Factors (CSFs). CSFs are the most fundamental elements that drive business success, and performance measures should focus on them rather than just tracking any random metrics.

Implications:

- CSFs are More Important Than Strategic Initiatives
- Primary Role of Measures: Helping the Workforce Focus on CSFs
- CSFs Come First, Then KPIs
- Linkage to CSFs

Seven (7) Foundation Stones for Successfully implementing KPI Systems

5. **Abandon Processes That Do Not Deliver**

This principle, inspired by Peter Drucker's concept of abandonment, emphasizes that organizations must eliminate processes, reports, meetings, and performance measures that no longer serve a meaningful purpose. Instead of holding onto outdated practices out of habit, companies should free up time and resources to focus on what truly matters—Critical Success Factors (CSFs) and Key Performance Indicators (KPIs).

Implications:

- Abandonment Day Each Month
- Measure the Abandonment Rate
- Abandon Dysfunctional Performance Measures
- Abandon Reports That No One Reads
- Abandon Meetings That Serve No Purpose
- Abandon Broken-Down Balanced Scorecards
- Abandon Projects That Are No Longer Needed
- Abandon Performance-Related Pay Linked to Annual Targets
- Abandon Performance Reviews That Nobody Likes

Seven (7) Foundation Stones for Successfully implementing KPI Systems

6. **Appointment of a Home-Grown Chief Measurement Officer**

Imagine a company wants to improve how it measures success, but different teams are tracking things in different ways, making it confusing. To solve this, the company needs someone in charge of measurement—a Chief Measurement Officer (CMO).

Implications:

- Full-Time Responsibility
- In-House Appointment
- Direct Reporting to the CEO

Seven (7) Foundation Stones for Successfully implementing KPI Systems

7. **Organization-Wide Understanding of the Winning KPIs Definition**

The purpose of this foundation stone is to ensure that everyone in the organization correctly understands what a Key Performance Indicator (KPI) truly is. Many organizations mistakenly call all performance measures "KPIs," which can lead to confusion, tracking unnecessary metrics, and making poor decisions.

Implications:

- KPI Definition
- KPIs are organizational based
- KPIs are operationally focused
- Two groups of measures

Real-World Examples

A major airline (e.g., Delta, Emirates, or Philippine Airlines) was struggling with delayed departures due to slow aircraft turnaround times. This resulted in missed connections, frustrated passengers, and financial penalties.

Challenges:

- Cleaning crews took too long to prepare the aircraft for the next flight.
- Refueling teams weren’t ready as soon as the plane arrived.
- Baggage handlers waited for instructions instead of proactively preparing.
- Flight crews had no real-time updates on maintenance status

Real-World Examples

How the Seven Foundation Stones Were Applied:

1. Partnership with the Staff, Unions, and Third Parties
   - The airline worked with third-party ground handlers, refueling teams, and cleaning services to develop a faster, more synchronized process.
   - Unions were consulted to ensure fair shifts while improving efficiency.

2. Transfer of Power to the Front Line
   - Cleaning and refueling teams were given pre-approved authority to start work as soon as a plane arrived, instead of waiting for instructions.
   - Baggage handlers used real-time data to unload and reload bags faster.

3. Measure and Report Only What Matters
   - Instead of tracking unnecessary data, the airline focused on “gate-to-gate turnaround time” and “on-time departure rates.”

Real-World Examples

4. Source KPIs from Critical Success Factors
   - Customer complaints showed that on-time departures mattered most, so KPIs focused on reducing turnaround time.

5. Abandon Processes That Do Not Deliver
   - The old paper-based coordination system was replaced with a mobile app where all ground staff got real-time updates.

6. Appointment of a Home-Grown Chief Measurement Officer
   - A former ground operations manager was promoted to oversee turnaround performance.

7. Organization-Wide Understanding of Winning KPIs Definition
   - All staff were trained to understand that faster turnarounds meant fewer delays, happier passengers, and higher profits.

Real-World Examples

Walmart, one of the world’s largest retail chains, faced frequent stock shortages in some locations due to delays in supplier deliveries. Customers often found empty shelves, leading to lost sales and lower customer satisfaction.

Challenges:

- Store staff had to wait for manual purchase approvals from managers, delaying restocking.
- Suppliers were only informed of low stock after shelves were already empty.
- Different Walmart stores had different inventory tracking methods, causing inconsistencies.

Real-World Examples

How the Seven Foundation Stones Were Applied:

1. Partnership with the Staff, Unions, and Third Parties
   - Walmart partnered with key suppliers and warehouse teams to ensure real-time restocking updates instead of waiting for phone calls.

2. Transfer of Power to the Front Line
   - Store managers and staff were empowered to reorder stock automatically when supplies reached a critical level, without waiting for HQ approval.

3. Measure and Report Only What Matters
   - Instead of tracking all inventory movements, Walmart focused on “shelf stock levels” and “supplier delivery time” as key KPIs.

Real-World Examples

4. Source KPIs from Critical Success Factors
   - Customer feedback showed that product availability was the biggest concern, so KPIs focused on stock replenishment speed.

5. Abandon Processes That Do Not Deliver
   - Walmart eliminated manual approval processes and replaced them with an automated restocking system linked to real-time sales data.

6. Appointment of a Home-Grown Chief Measurement Officer
   - A former store manager was promoted to oversee supply chain KPIs, ensuring someone with hands-on experience made data-driven decisions.

7. Organization-Wide Understanding of Winning KPIs Definition
   - Walmart trained all employees to monitor stock levels and report supply issues before they affected customers.

Real-World Examples

Mayo Clinic, a leading hospital in the U.S., faced long emergency room (ER) wait times, leading to patient dissatisfaction and potential health risks for critical cases.

Challenges:

- Patients waited hours before seeing a doctor due to overcrowding and slow triage.
- Nurses and doctors had limited decision-making authority, requiring approval before moving patients to different departments.
- ER staff had no real-time data on patient volume and available beds in other hospital units.

Real-World Examples

How the Seven Foundation Stones Were Applied:

1. Partnership with the Staff, Unions, and Third Parties
   - Mayo Clinic worked with nurses, doctors, and third-party medical transport services to create a faster triage system and optimize patient flow.

2. Transfer of Power to the Front Line
   - Nurses were empowered to initiate tests and move non-critical patients to urgent care or telemedicine consultations without waiting for a doctor’s approval.

3. Measure and Report Only What Matters
   - Instead of tracking every step of patient care, they focused on two key KPIs:
     - "Time from patient arrival to first doctor consultation."
     - "ER occupancy rate at peak hours."

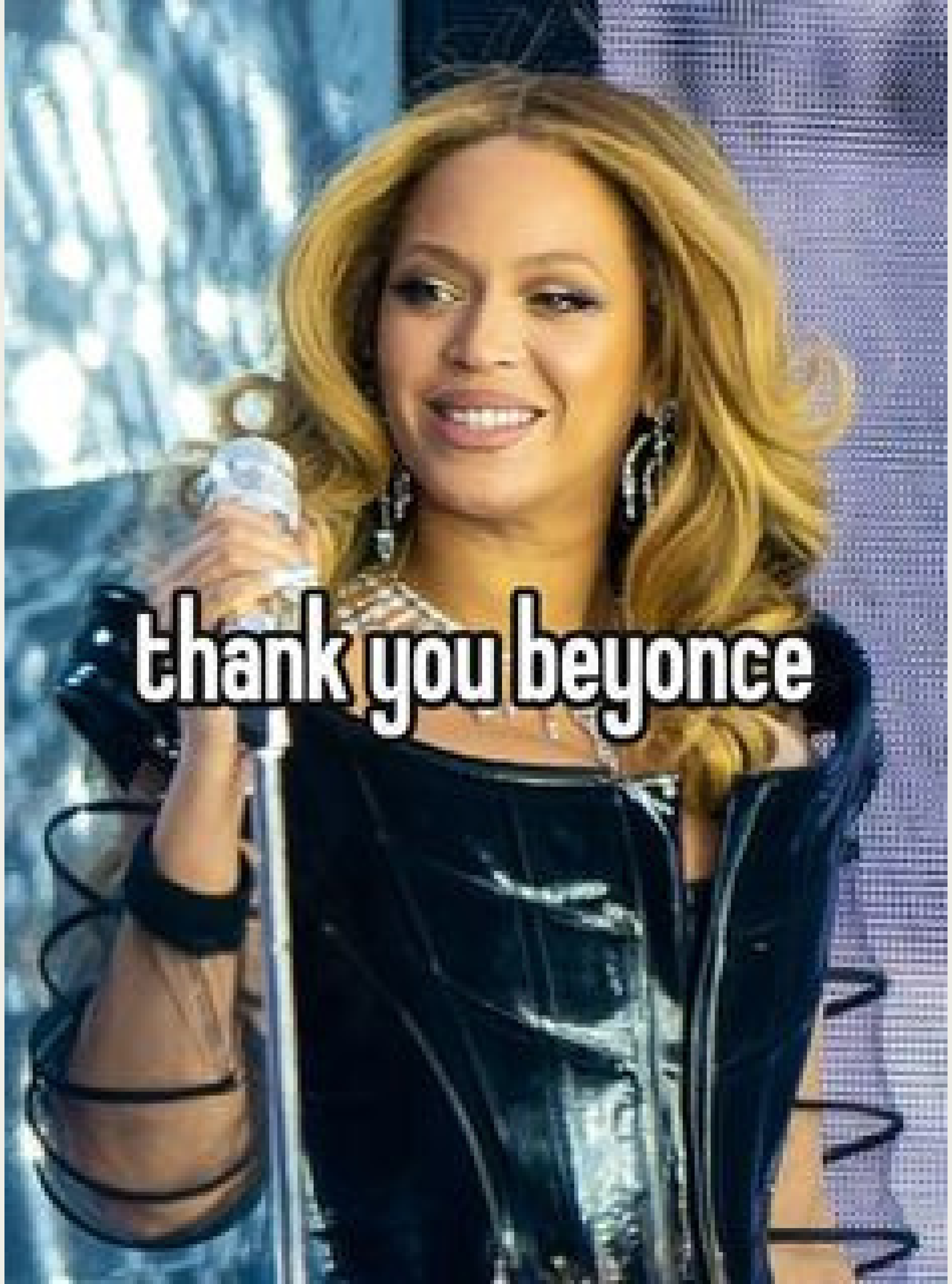
Real-World Examples

4. Source KPIs from Critical Success Factors
    - Patient surveys showed that long wait times were the biggest complaint, so KPIs focused on reducing delays in ER processing.

5. Abandon Processes That Do Not Deliver
    - Mayo Clinic stopped unnecessary paperwork for non-critical patients and redirected them to urgent care or virtual consultations.

6. Appointment of a Home-Grown Chief Measurement Officer
    - An experienced ER physician was promoted to oversee ER efficiency, ensuring someone with direct patient experience guided improvement.

7. Organization-Wide Understanding of Winning KPIs Definition
    - The hospital trained all ER staff on the importance of speed in patient care, ensuring everyone focused on reducing wait times.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